

Reading and Understanding Your Financial Summary

How to interpret your personal financial picture as a SACCO member | aBi Finance

What Is a Financial Summary?

A financial summary is a one-page snapshot of your current money situation. It shows where you stand right now — your income, your debts, your savings, and whether your finances are healthy or under pressure.

Your SACCO financial assistant generates a personalised summary based on the information you provide. Reading it correctly helps you make better decisions about borrowing, spending, and saving.

The Five Numbers That Define Your Financial Health

Number 1 — Monthly Income: the total money coming in from all sources in a typical month. This is your starting point. Every other number is measured against it.

Number 2 — Monthly Expenses: the total of all your regular outgoings — rent, food, transport, school fees, utilities. If this exceeds your income, you are in deficit and need to act immediately.

Number 3 — Loan Repayment Ratio: your monthly loan repayment divided by your monthly income, expressed as a percentage. Healthy: below 20%. Warning: 20–30%. Danger: above 30%.

Number 4 — Savings Rate: your monthly savings amount divided by your monthly income. Target: at least 10–20%. Even 5% is a positive start.

Number 5 — Net Surplus or Deficit: income minus all expenses including loan repayment and savings. A positive number means you are living within your means. A negative number requires immediate budget adjustment.

How to Read Your Loan Summary

Loan Summary Item	What It Means
Principal borrowed	The original amount you took from the SACCO
Outstanding balance	How much you still owe today
Monthly repayment	Your fixed monthly instalment (EMI)
Months remaining	How many more payments until the loan is cleared
Total interest to pay	The remaining interest cost before the loan is fully repaid
Repayment ratio	Your EMI as a percentage of your monthly income

A healthy loan summary shows: outstanding balance decreasing each month, repayment ratio below 20%, and no missed or partial payments on record.

How to Read Your Budget Summary

Your budget summary compares your actual spending against the recommended 50/20/20/10 framework. Each category is shown as both a shilling amount and a percentage of income.

Green means on track — you are at or below the recommended percentage for that category. Orange means slightly over — worth monitoring. Red means significantly over — action needed.

The most common red flag is transport or food consuming more than 20–25% of income each. This often happens when income falls but spending habits do not adjust. The assistant will highlight this and suggest specific reductions.

What the Savings Summary Tells You

Your savings summary shows three things: your current savings balance, your savings goal, and the gap between them.

It also calculates how many months it will take to reach your goal at your current savings rate. If the timeline is too long, the summary will suggest either increasing the monthly savings amount or adjusting the goal amount.

If your savings balance is zero and you have an active loan, the summary will flag this as a priority issue — you have financial risk exposure with no buffer. The first action recommended will always be to build even a small emergency fund before anything else.

Taking Action Based on Your Summary

A financial summary is only useful if you act on what it shows. Here is a simple decision framework:

If your loan repayment ratio is above 30%: contact your SACCO and request a loan restructure to extend the term and reduce the monthly amount.

If your savings rate is below 10%: identify one expense category to reduce by UGX 20,000–50,000 and redirect that amount directly to savings.

If you are in monthly deficit: compare your actual spending against your budget. Find the largest gap — that is the first category to address.

If your emergency fund is below one month of expenses: pause all non-essential spending and savings goals until the emergency fund reaches UGX 200,000–300,000.